

Legal Ghosts, Real Lives: Unmasking the Socioeconomic Toll of Statelessness in Sabah

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Abstract

Statelessness and the lack of legal documentation remain pervasive challenges in Sabah, severely restricting mobility and entrenching intergenerational poverty among the state's most vulnerable communities. This research investigates the localized socioeconomic impacts of statelessness in Sabah, focusing on the cascading vulnerabilities related to basic education, healthcare access, and formal employment. Utilizing a comparative qualitative framework, this study analyzes primary data from four APPGM-SDG Laporan Pemetaan Isu Kawasan Parlimen reports: Putatan (2025), Semporna (2025), Labuan (2025) and Tuaran (2025). The grassroots analysis identifies stark realities for undocumented and stateless residents: systemic exclusion from the formal economy, a forced reliance on precarious informal labor, and the complete deprivation of social welfare protections. These bureaucratic and systemic barriers not only threaten the livelihoods of underserved families but also exacerbate broader regional inequalities. This research aligns directly with the 2030 Agenda, specifically addressing SDG 16 (Peace, Justice and Strong Institutions), Target 16.9 (provide legal identity for all), alongside SDG 1 (No Poverty) and SDG 10 (Reduced Inequalities). To bridge grassroots findings with national legislative efforts, this study reviews the APPGM-SDG thematic parliamentary policy paper, Laporan Awal Dasar SDG Peringkat Parlimen (Tiada Kewarganegaraan). By synthesizing constituency mapping data with multi-agency policy dialogues, the article proposes strategic, grassroots-informed interventions. Recommendations advocate for decentralized documentation task forces, legally recognized alternative education mechanisms for stateless children, and community-centric advocacy hubs to build resilience. Ultimately, this paper argues that resolving statelessness is not solely a legal administrative issue, but an urgent socioeconomic necessity to ensure "no one is left behind" in Sabah's sustainable development trajectory.

Keywords: Statelessness, Sabah, Undocumented Communities, Socioeconomic Impact, Grassroots Empowerment, APPGM-SDG, Poverty Reduction

1. INTRODUCTION

In the complex architecture of modern statehood, legal identity functions as the primary gateway through which basic rights, social protection, and public services are distributed. An individual devoid of a birth certificate, a national identity card, or a recognized nationality can reside within a nation's borders for decades, actively contributing to its economic engine, yet remain administratively erased. In the East Malaysian state of Sabah, this phenomenon is not an isolated bureaucratic anomaly, it is a deeply entrenched structural feature of coastal, island, and peri-urban life. It is a reality forged by a complex confluence of historical cross-border migration, fluid maritime cultures, customary marriage practices, geographic isolation, intergenerational poverty, and a highly intricate, often rigid citizenship bureaucracy (Allerton, 2017).

The demographic scale of this issue is substantial and deeply interwoven into the state's macro-economy. The 2020 Malaysian Census placed Sabah's population at approximately 3.40 million, with non-citizens constituting roughly a quarter of the residents in official readings (Department of Statistics Malaysia [DOSM], 2020). However, official estimates from the DOSM in 2025 indicated that the non-citizen population in Sabah had reached approximately 1.04 million which is the largest concentration of any state in the federation (DOSM, 2025). These figures aggregate documented foreign workers, undocumented migrants, and, crucially, multi-generational residents of undetermined nationality. They do not represent a pure census of stateless persons as defined by the 1954 Convention, and estimates of those genuinely "at risk of statelessness" vary considerably (Allerton, 2017).

Among the affected cohorts are long-resident communities of Filipino and Indonesian descent, the indigenous maritime Bajau Laut (Pala'u) groups, children born of unregistered mixed marriages, and rural indigenous persons who simply missed the narrow temporal windows for civil registration (Allerton, 2020). What unifies these disparate, highly heterogeneous groups is not a shared ethnic or geographic origin, but a shared developmental outcome including formal schooling, subsidized healthcare, regulated employment, secure housing, and state welfare remain entirely out of reach. Since 2020, grassroots mapping initiatives conducted by the All-Party Parliamentary Group Malaysia on the Sustainable Development Goals (APPGM-SDG) have systematically documented localized needs through focus group discussions, site observations, and inter-agency dialogues across more than 140 constituencies (APPGM-SDG, 2025). Within this vast corpus of evidence, *tiada kewarganegaraan* (lack of citizenship or documentation) has consistently emerged as a cross-cutting crisis intricately linked to poverty, food insecurity, and social vulnerability (APPGM-SDG, 2024). This report synthesizes this mapping data alongside macro-level poverty indicators and newly published child wellbeing indices to unpack the specific pathways through which documentation deficits translate into acute socioeconomic deprivation.

Understanding the intractability of the documentation crisis requires contextualizing it within Sabah's unique, and often highly volatile, political economy. The issue of migration and citizenship in the state is heavily racialized and deeply politicized, influenced by decades of historical grievances, demographic engineering, and a pervasive narrative of state sovereignty

under threat (Allerton, 2018). The modern genesis of Sabah's documentation crisis can be traced to the early 1970s, triggered by the massive influx of Filipino refugees fleeing the ethno-religious insurgency and civil war in Mindanao (Allerton, 2020). Recognizing the humanitarian crisis, the federal and state governments permitted these refugees to settle, particularly along the eastern seaboard in districts like Semporna, Sandakan, and Lahad Datu. Over the subsequent decades, the state issued a chaotic and overlapping array of administrative documents to manage this population. The most prominent included the IMM13 refugee pass (issued by the Immigration Department), the *Sijil Banci* or Census Certificate (issued by the Federal Special Task Force), and the *Kad Burung-Burung* (a state-issued document named after the bird motif on its crest, utilized during specific census exercises in the 1980s and 1990s) (Allerton, 2020).

While these documents initially conferred temporary rights to reside, work, and access public education, the geopolitical climate eventually shifted. By 2001, as the conflict in the Philippines stabilized, IMM13 holders lost their formal refugee status (Allerton, 2020). The rights attached to these temporary documents were rapidly eroded. Furthermore, many families failed to renew their IMM13 passes annually due to prohibitive fees, geographic isolation, or sheer administrative ignorance, instantly plunging multi-generational descendants into undocumented status and de facto statelessness (Allerton, 2020). The bureaucratic confusion was exponentially worsened by the lingering legacy of "Project IC" which is a systemic, highly clandestine, and politically motivated operation alleged to have unlawfully granted Malaysian citizenship to hundreds of thousands of immigrants in the 1990s. The purported goal was to alter Sabah's electoral demographics to favor the federal ruling coalition and topple the state government of the time (Malaysiakini, 2013).

The scale of this demographic engineering was partially laid bare during the Royal Commission of Inquiry (RCI) on Immigrants in Sabah, which convened between 2012 and 2014. Sworn testimonies from former National Registration Department (NRD) officials detailed covert operations such as "*Ops Durian Buruk*" and "G17" where tens of thousands of blue identity cards and birth certificates were processed and distributed to unqualified immigrants. The RCI concluded that the unlawful issuance of identity documents to foreign nationals had indeed occurred, fundamentally altering the social and political fabric of the state (Malaysiakini, 2013). The fallout from Project IC has had devastating consequences for contemporary undocumented populations. It fostered a profound, almost insurmountable trust deficit among indigenous Sabahans toward any federal or state initiatives aimed at regularizing undocumented communities (APPGM-SDG, 2025). Any attempt to provide legal clarity to stateless children today is immediately viewed through the highly suspicious lens of demographic manipulation and political subterfuge.

This deep-seated suspicion reached a boiling point during the January 2020 Kimanis parliamentary by-election. In late 2019, the then-state government proposed the *Pas Sementara Sabah* (PSS) which is a Sabah Temporary Pass designed to replace the chaotic triad of IMM13, *Sijil Banci*, and *Kad Burung-Burung* (Sabah from the Ground, 2020). The PSS was intended as a high-security, biometric card to be issued to an estimated 600,000 long-staying immigrants and

their dependents, valid for three years at a cost of RM120 (Cilisos, 2020). While advocates argued that the PSS would finally allow the state to identify and manage the undocumented population, political opponents weaponized the initiative, framing it as a covert attempt to grant citizenship to foreigners and dilute indigenous sovereignty (Sabah from the Ground, 2020). The resulting political backlash was immense, characterized by massive protests and xenophobic media campaigns. Because of this highly charged environment, administrative solutions to undocumentedness are frequently paralyzed by political fear. State enforcement tends to favor a cyclical, security-first approach, punctuated by highly visible document-checking raids and the demolition of informal maritime settlements. These actions, however, fail to address the root causes of the demographic reality, paradoxically entrenching the marginalization of these communities and ensuring the perpetuation of statelessness (Allerton, 2018).

The central thesis is unequivocal: legal identity is a prerequisite for human development. Absent this foundational infrastructure, even the most meticulously designed welfare and poverty eradication programs will systematically fail to reach those existing in the deepest states of precarity.

2. THEORETICAL FRAMEWORK AND SDG ANCHORING

2.1 Delineating Statelessness, Undocumentedness and Contested Legal Identity

To rigorously analyze the phenomenon of undocumented and stateless populations in Sabah, it is necessary to construct a theoretical framework that transcends purely legalistic, state-centric definitions. The lived realities of these communities challenge binary categorizations of citizen versus foreigner. The discourse surrounding non-citizens in Sabah is often muddled by the conflation of distinct legal and administrative categories. Under Article 1 of the 1954 Convention relating to the Status of Stateless Persons, a stateless individual is one "not considered as a national by any State under the operation of its law" (UNHCR, 1954). This is often referred to as *de jure* statelessness. A "non-citizen," conversely, is a broad classification encompassing both documented foreign workers and irregular migrants with clear foreign nationalities. "Undocumented" describes any individual lacking valid identity or immigration papers. This can include non-citizens, Malaysians who were never registered at birth, or individuals of entirely undetermined nationality (Allerton, 2017).

In Sabah, a vast number of residents occupy a gray zone of undetermined nationality, a state frequently referred to as *de facto* statelessness. They may possess factual, historical, or familial ties to Malaysia, the Philippines, or Indonesia, but wholly lack the requisite chain of civil documentation like birth certificates, marriage certificates, or sworn affidavits to establish a formal legal claim to any of them (Allerton, 2017). Anthropological scholarship, particularly the extensive ethnographic work of Catherine Allerton, characterizes this environment as one of "contested statelessness" (Allerton, 2017). Rather than fitting neatly into international refugee or statelessness frameworks, these populations are generated by administrative omission, historical

cross-border mobility, shifting geopolitical borders, and the political anxieties of the host state (Allerton, 2017).

Consequently, many children in Sabah find themselves configured as "impossible children" which is minors who are acutely aware of their illegality and exclusion from state institutions, yet maintain deep, undeniable social and spatial ties to Sabah as their only known home (Allerton, 2018, 2023). Drawing upon Hannah Arendt's seminal conceptualization of the "right to have rights," the foundational tragedy of statelessness in Sabah is not merely the loss of a passport, but the profound loss of mutual recognition necessary for a political and social life. These communities exist in a state of ontological dehumanization, where their physical presence in the state is acknowledged only through the lens of criminality, security threats, or exploitable cheap labor (Allerton, 2017).

2.2 The Capability Approach and Social Exclusion on Legal Identity Deprivation

The socioeconomic toll of this contested identity is best understood through the synthesis of Amartya Sen's capability approach and sociological theories of social exclusion as depicted in Figure 1. Sen (1999) posits that economic development must be conceptualized as the expansion of real human freedoms and the enhancement of an individual's capability to lead a life they have reason to value. Within this paradigm, legal identity acts as an indispensable "conversion factor." Even if a state builds state-of-the-art schools, staffs modern clinics, and generates abundant employment, an individual without identity documents cannot convert these available public goods into lived functionings .

Social exclusion theory complements this by emphasizing the multi-dimensional ruptures that occur when individuals are severed from formal labor markets, social services, and civic belonging (Silver, 1994). In the context of Sabah, the failure to secure legal identity initiates a cascading, intergenerational cycle of exclusion. An unregistered marriage leads directly to a child without a birth certificate. That lack of a birth certificate bars the child from secondary education, which ultimately forces them into unregulated, sub-minimum wage labor. Informal labor denies them social protection, and exorbitant foreigner fees block their access to universal healthcare . This theoretical cascade positions the restoration of legal identity not merely as an administrative housekeeping task, but as the fundamental prerequisite for achieving comprehensive, equitable sustainable development.

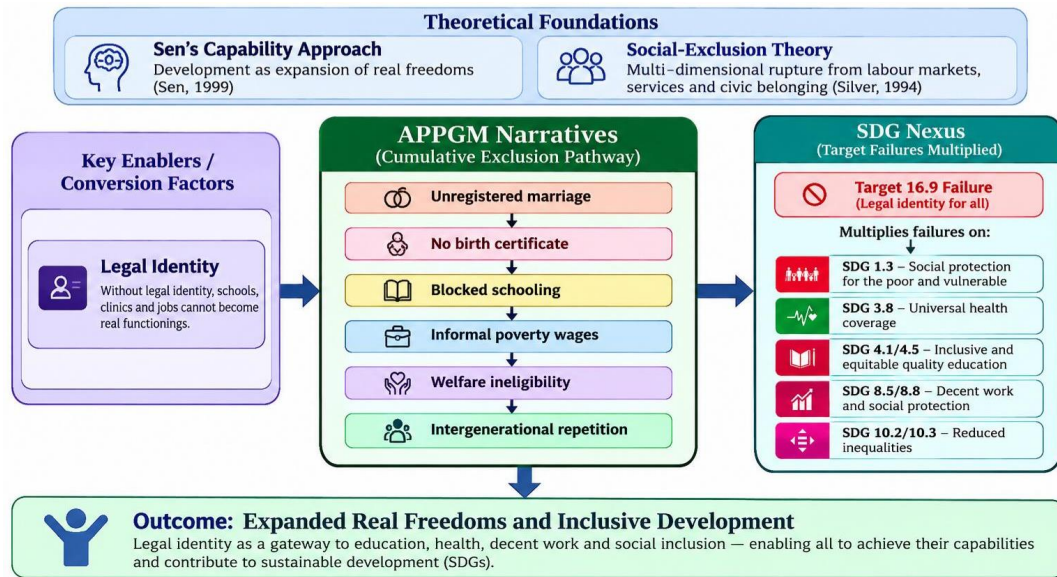


Figure 1. Theoretical Framework on Social Exclusion caused by Legal Identities' Failure

3. METHODOLOGY

This study adopts a comparative mixed-methods secondary design that combines qualitative and quantitative approaches. On the qualitative side, it treats the APPGM-SDG mapping reports as systematically collected grassroots evidence incorporating focus group discussions (FGDs), site visits, NGO dialogues, and inter-agency verification and subjects them to cross-case thematic comparison following established frameworks (Yin, 2018; Braun & Clarke, 2006). Quantitatively, it compiles published secondary indicators into comparative tables, computes simple gaps, ratios, and multiples, and interprets these magnitudes against constituency mechanisms. While no new primary survey was fielded, the contribution lies in the integration of secondary analysis for parliamentary policy application.

Four constituencies from Jilid 5: Wilayah Sabah (2025) were selected to illustrate shared methodology and contrasting profiles: Semporna (P.189), Putatan (P.173), Tuaran (P.170), and Labuan (P.166). The secondary quantitative sources include DOSM non-citizen and poverty statistics, the UNICEF–UPEN Sabah Child Wellbeing Index (SCWI, 2026), Loganathan et al. (2022), the UNICEF OOSCI Sabah (2019), government and foreigner health-fee schedules reported via KRI and media, and Malaysia's minimum-wage benchmarks (RM1,500 rising to RM1,700 from February 2025).

Acknowledging its limitations, the study notes the thin availability of official microdata on undocumented populations, the SCWI's oversampling of vulnerable children, the purposive nature of APPGM FGDs, and the reliance on fee/wage figures that are schedules or community reports rather than audited payrolls. The article therefore claims pattern validity and order-of-magnitude clarity, rather than causal identification, and maintains analytical distinctions between citizens missing papers, non-citizens, and Convention-stateless persons.

4. FINDINGS

4.1 Maritime Statelessness as an Acute Development Crisis

Located on the rugged east coast, Semporna presents the most acute, highly concentrated portrait of documentation failure. A maritime border district with a 2023 population of roughly 186,200, Semporna is characterized by a fragile marine ecosystem, intensive tourism, and intricate citizen and non-citizen dynamics (APPGM-SDG, 2025). Field assessments conducted by the APPGM-SDG in coastal and island communities including Kampung Tampi-Tampi, Pulau Omadal, Sungai Tohok, and Pulau Pababag revealed entire populations living without any form of state identification (APPGM-SDG, 2025).

In Semporna, the absence of documentation is not a peripheral administrative issue; it is the central developmental bottleneck. In Kampung Berjasa alone, mapping teams recorded more than 200 residents lacking basic identity cards, birth certificates, or marriage records. The exclusion cascade here is starkly visible. Children born of undocumented parents or mixed Bajau Laut marriages are denied birth certificates. Without these, educational progression halts entirely at the secondary level. The resultant legal invisibility subjects these communities to extreme housing insecurity, evidenced by the recurrent enforcement demolitions of traditional stilt houses in marine park areas like Tun Sakaran. The community is forced into hyper-reliance on localized Alternative Learning Centres (ALCs) and informal, highly exploitative labor markets where wages are fundamentally depressed.

4.2 Mixed Marriages and the Intergenerational Poverty Loop

If Semporna illustrates high-intensity maritime statelessness, Tuaran demonstrates how documentation failures embed themselves quietly within the fabric of rural agricultural life. In Tuaran, the crisis frequently originates not from refugee influxes, but from unregistered mixed marriages between local Malaysian citizens and foreign spouses who themselves lack valid immigration papers.

Due to rigid, uncompromising bureaucratic requirements at the National Registration Department, children born to these unions are often denied Malaysian birth certificates, even when paternity is undisputed. Lacking legal recognition, they are barred from the formal education system. District welfare officers in Tuaran have explicitly linked the proliferation of these "stateless" and "stray child" (*anak tersisih*) cases directly to the district's hardcore poverty metrics. Uneducated and legally invisible, these individuals mature into adults who are entirely locked out of formal employment and state welfare safety nets, initiating a textbook intergenerational cycle of structural poverty. Tuaran highlights that statelessness outcomes frequently afflict individuals who have undeniable factual and biological ties to the Malaysian state.

4.3 Customary Traps in a Federal Territory

The Federal Territory of Labuan, an offshore financial and energy hub, sits in sharp economic contrast to rural Sabah. Official estimates from 2023 place its non-citizen population relatively low, at approximately 11.5 percent. Yet, localized mapping at Kampung Kiansam reveals profound documentation traps rooted deeply in local cultural practices. Couples who engage in kahwin kampung (customary, unregistered village marriages) find themselves incapable of securing formal birth certificates for their children, even when the family can plausibly prove Malaysian parentage. The institutional rigidity surrounding civil registration effectively penalizes children for the informal marriage practices of their parents, reproducing legal invisibility across generations in an otherwise highly developed, prosperous territory. This institutional silence from relevant federal agencies in Labuan underscores the pervasive nature of the bureaucratic trap.

4.4 Peri-Urban Pressure and Settlement Illegibility

Putatan, situated on the peri-urban fringes of the state capital, Kota Kinabalu, experiences the dual pressures of rapid commercial development and intensive rural-urban migration. Here, the documentation deficit manifests as an overarching constraint across multiple urban sectors. Education officers in Putatan report severe administrative strain, with strict document requirements actively gatekeeping school registration for non-citizen and undocumented pupils. Approximately 12 schools serve close to 12,000 pupils, and many children remain out of school despite national compulsory schooling norms. Furthermore, the proliferation of informal housing settlements such as Kampung Sembulan Lama, Muhibbah, Dumpil, and Serigai is inextricably linked to the influx of undocumented arrivals who cannot secure formal leases or property. These residents occupy residual, highly vulnerable land without access to secure utilities, living under the constant specter of enforcement raids. The lack of documentation even obstructs micro-economic survival, for instance, accessing vital fisheries assistance through local government bodies requires registered boat licenses, an impossibility for undocumented artisanal fishermen.

5. DISCUSSION ON THE SOCIOECONOMIC TOLL

Despite different faces, the four seats share one architecture: upstream civil-registration failure; midstream service exclusion, downstream labour and housing precarity and a poverty–paperwork feedback loop amplified by weak microdata. Semporna shows high intensity; Tuaran and Labuan show citizen-adjacent children trapped by family files; Putatan fuses undocumentedness with peri-urban enforcement and housing. Table 1 shows documentation failure is not confined to one poor district. Labuan records an 11.5% non-citizen share and a clear civil-registration trap, while Semporna supplies the densest local counts and labour-price signal.

Table 1. Constituency markers from APPGM-SDG Laporan Pemetaan Isu (2025)

Seat	Population marker	Intensity	Key quantitative signals
Semporna (P.189)	~186,200 (2023); Bumiputera ~56%	Very high	Kg. Berjasa: >200 without IC/birth/marriage docs; transport ~RM150/pupil/month; undocumented wages RM500–600 vs local RM1,500–1,700; ALC reliance
Putatan (P.173)	Peri-urban KK	Medium–high	~12 schools / ~12,000 pupils; strict foreign-pupil document rules; informal settlements linked to undocumented inflows
Tuaran (P.170)	Mixed rural	Medium	Mixed-marriage non-registration → out-of-school children; welfare links stateless/"stray child" cases to hardcore poverty
Labuan (P.166)	~99,000; non-citizens ~11.5%	Medium	Customary marriage blocks birth certificates across generations

The qualitative realities observed in the constituencies are starkly corroborated by macroeconomic data and specialized demographic indices. When legal identity fails, the repercussions ripple systematically across education, healthcare, labor, and welfare, creating an inescapable multiplier effect of deprivation.

5.1 Education: Inclusion Without Mobility and the ALC Ecosystem

The educational exclusion of stateless and undocumented children represents one of the most severe developmental failures in Sabah. Under the national 'Zero Reject Policy', only children with at least one Malaysian parent or legal guardian can easily access mainstream public schools (Allerton, 2020). For the estimated 250,000 non-citizen and undocumented children in Sabah (aged 0-19), the formal education system remains largely impenetrable (Loganathan et al., 2022). According to a landmark 2019 report by the UNICEF-UNESCO Out of School Children Initiative (OOSCI), approximately 23,560 (or 6.3 percent) of primary school-age children in Sabah were out of school, with undocumented non-citizens and rural indigenous boys facing the highest risk of educational exclusion (UNICEF Malaysia, 2019).

The 2026 Sabah Child Wellbeing Index (SCWI), developed jointly by UNICEF and the Sabah State Economic Planning Unit, quantifies this exclusion with devastating clarity. Utilizing a methodology that deliberately oversampled vulnerable populations, the SCWI found that while 27.2 percent of all children in Sabah meet the baseline learning wellbeing threshold, a mere 2.7 percent of undocumented or stateless children do, a nearly tenfold disparity (UNICEF & UPEN Sabah, 2026). The data reveals that approximately two-thirds (35.6 percent) of undocumented children lack basic access to education, and less than one in twelve (8.4 percent) will ever complete their schooling (UNICEF & UPEN Sabah, 2026). For those who are entirely locked out of the state apparatus, Alternative Learning Centres (ALCs) serve as the sole educational lifeline. Grassroots initiatives like Iskul Sama Dilaut Omadal in Semporna exemplify this community-driven resilience. Founded to serve the stateless Bajau Laut community, Iskul utilizes a peer-to-peer teaching model where children who managed to access government schools (Mastal Arikik, or little teachers) instruct their undocumented peers in basic Malay literacy, arithmetic, hygiene, and marine stewardship (Iskul Sama Dilaut Omadal, 2023).

5.2 Healthcare: Price Walls, Fear, and the Collapse of Universal Coverage

If the education system acts as a broken escalator for the undocumented, the healthcare system operates as an aggressively gated enclave. While the Ministry of Health maintains that life-saving services are not explicitly denied to non-citizens, access is heavily mediated by the imposition of punishing "foreigner fee" schedules. The financial barriers are staggering. Outpatient fees that cost a Malaysian citizen between RM1 and RM3 can cost a foreigner or undocumented resident approximately RM40, a fortyfold multiplier. A single day in a third-class hospital ward can cost between RM160 and RM320 for an undocumented patient. For households surviving on informal wages of RM500 a month, these are not manageable co-payments, they represent total financial exclusion.

Compounding the price wall is a pervasive, systemic wall of fear. Healthcare staff face administrative circulars requiring the reporting of undocumented patients to immigration authorities, creating deep ethical dilemmas for medical professionals. Consequently, families deliberately delay seeking medical intervention until minor ailments escalate into acute, life-threatening emergencies (Allerton, 2018). This avoidance behavior is reflected starkly in the SCWI 2026 data in which only 0.6 percent of undocumented children met the health wellbeing threshold, and a mere 9.4 percent possessed up-to-date vaccinations (UNICEF & UPEN Sabah, 2026). The suppression of immunization rates among such a massive demographic cohort poses significant, long-term epidemiological risks for the entire state, effectively stratifying SDG Target 3.8 (Universal Health Coverage) into comprehensive care for the documented, and residual, crisis-only care for the invisible.

Table 2 is the central quantitative finding of the APPGM education and clinic stories that describe the modal SCWI experience of undocumented/stateless children, not rare tails. Access without completion (35.6% vs 8.4%) is the statistical twin of "inclusion without mobility."

Table 2. SCWI 2026 child wellbeing: all children vs undocumented/stateless children

Indicator	All children	Undocumented/stateless	Gap / reading
Health wellbeing threshold met	92.3%	0.6%	91.7 pp gap (~154× lower)
Access to needed care	—	~2.0%	Near-total exclusion
Vaccinations up to date	—	9.4%	Single-digit completion
Learning wellbeing threshold met	27.2%	2.7%	24.5 pp gap (~10× lower)
Access to education	—	35.6%	~2 in 3 without access
School education completion	—	8.4%	<1 in 12 complete

Source: UNICEF & UPEN Sabah (2026); public SCWI reporting (Malay Mail, 2026). Study n = 4,441 across Sabah's five divisions, with hundreds identified as stateless/undocumented.

5.3 Labour Markets: The Statelessness Discount and Unfree Labor

The intersection of undocumented status and economic survival generates a hyper-exploitative labor market. As shown in Table 3, Semporna focus group discussions revealed that undocumented workers earn between RM500 and RM600 monthly, operating entirely without contracts, payslips, or basic occupational safety protections. This sits at approximately 29 to 40 percent of the statutory minimum wage (RM1,500 rising to RM1,700 in early 2025). This severe wage suppression functions as a "statelessness discount" that heavily subsidizes local employers while aggressively penalizing vulnerable workers. Denied the legal standing to open bank accounts, unionize, or file grievances with labor tribunals, undocumented laborers in Sabah’s fisheries, palm oil plantations, and informal urban sectors are entirely beholden to their employers (Wahab & Dollah, 2023).

By relying on a disposable, untaxable underclass, the state economy suffers from suppressed overall productivity, reduced tax revenues, and a massive deficit in skilled human capital development (Allerton, 2020). The out-migration of documented young people from districts like Semporna functions as both a survival strategy and a devastating drain on local skills, leaving behind a highly polarized, fragile local economy.

Table 3. Status-to-money multiples (fees and wages)

Domain	Citizen/formal benchmark	Foreigner/undocumented signal	Multiple / share
Outpatient fee	RM1	~RM40	~40×
Third-class ward/day	~RM3	~RM160–320	~53–107×
Semporna FGD wages	RM1,500–1,700 local	RM500–600 undocumented	29–40% of local pay
Minimum wage	RM1,500 (to Jan 2025); RM1,700 (from Feb 2025)	RM500–600	~29–40% of minimum
School transport (Semporna)	—	~RM150/month	25–30% of a RM500–600 wage

Sources: KRI (2020); FMT (2024); APPGM-SDG Semporna (2025); Minimum Wages Order to RM1,700 (2025).

5.4 Welfare, Demographic Blindness, and the Paradox of the Uncounted Poor

Sabah consistently records the highest incidences of poverty in Malaysia. In 2024, the state’s absolute poverty rate stood at 17.7 percent, roughly 3.5 times the national average of 5.1 percent. Hardcore poverty in Sabah was recorded at 0.7 percent, vastly outstripping the national figure of 0.09 percent (DOSM, 2024). However, these grim statistics obscure an even darker socioeconomic paradox: the poorest individuals in Sabah are largely uncounted. National welfare targeting databases, such as e-Kasih and the Program Perumahan Rakyat Termiskin (PPRT), mandate a valid MyKad (national identity card) for enrollment.

Consequently, the hundreds of undocumented families living in extreme destitution in Semporna’s islands, Tuaran’s rural enclaves, and Putatan’s squatter settlements are entirely

invisible to state poverty-alleviation mechanisms. When the state's primary databases only "see" documented citizens, poverty evaluations systematically understate the true scale of lived deprivation. The lack of a legal identity does not merely cause individuals to slip through the social safety net rather rendering the safety net entirely inaccessible, breaching SDG Target 1.3 and fundamentally distorting the state's macro-economic and budgetary planning. Table 4 shows Target 16.9 is a binding constraint on Targets 1.2/1.3 in Sabah, the state pairs Malaysia's largest non-citizen stock with the highest poverty rate. Identity-gated schools and welfare are therefore macro instruments, not clerical details.

Table 4. Macro scale: why local failures bind state SDG performance

Indicator	Value	Reading
Sabah non-citizens (DOSM 2025)	~1.04 million	Largest state stock; ~1 in 4 residents in structural readings—not a pure stateless census
High non-citizen-share districts (DOSM reporting)	Kinabatangan ~72.9%; Kalabakan ~69.3%; Kunak ~53.4%	East-coast/interior concentrations (non-citizen share, mixed statuses)
Non-citizen children 0–19 (est.)	~250,000 (Loganathan et al., 2022)	Cohort-sized education/health exclusion
Absolute poverty Sabah vs Malaysia (2024)	17.7% vs 5.1%	Sabah ≈ 3.5× national rate (highest state)
Hardcore poverty Sabah vs Malaysia (2024)	0.7% vs 0.09%	Sabah is the residual hardcore-poverty outlier
Average PLI (2024)	RM2,705/month	RM500–600 wages ≈ 18–22% of average PLI

Sources: DOSM Poverty in Malaysia 2024; DOSM migration releases 2025; Loganathan et al. (2022).

5.5 Synthesis: contested statelessness as a development multiplier

Read together, the four constituencies and the external evidence support three concluding claims. First, Sabah's documentation crisis is a development multiplier. A single missing birth certificate can delete school progression, raise effective health prices forty-fold, lock a young adult into sub-minimum informal work, erase welfare eligibility, and expose a household to eviction. SCWI's near-zero health and learning thresholds for undocumented and stateless children are the quantitative signature of that multiplier (UNICEF & UPEN Sabah, 2026).

Second, the crisis is heterogeneous but architecturally common. Semporna displays high-intensity maritime statelessness; Tuaran and Labuan show citizen-adjacent children trapped by mixed or customary marriage paperwork; Putatan shows peri-urban informality where undocumentedness fuses with housing and school gatekeeping. Allerton's (2017) "contested statelessness" remains the most accurate label: these are not neat UNHCR caseloads but populations produced by administrative omission, cross-border history, poverty and political anxiety over identity politics.

Third, the cost of inaction is fiscal and moral (Table 4). Sabah cannot close its poverty gap while ~1.04 million counted non-citizens—and unknown further numbers of undocumented or undetermined-nationality residents—remain unevenly legible to schools, clinics and welfare. Each year of delay discounts another child cohort's skills, health and trust. APPGM has made the

invisible audible; the remaining gap is implementation capacity and political will to treat legal identity as public infrastructure.

6. POLICY RECOMMENDATIONS

The documentation crisis in Sabah operates as a severe development multiplier. The qualitative evidence from the APPGM-SDG mappings, verified by quantitative indices from UNICEF and DOSM, unequivocally demonstrates that the state cannot achieve meaningful progress on its poverty, education, and health targets while systematically ignoring over a million uncounted, undocumented, or ambiguously statused residents. Addressing this crisis requires transitioning from a framework of sovereign anxiety and securitization to one of human rights and pragmatic developmental infrastructure. Drawing upon existing policy reports, human rights advocacy, and the localized successes of civil society, the following structural remedies are proposed:

1. **Empower the Sabah Documentation Acceleration Task Force (SDATF):** The newly formed JKSSK must operate similarly to the highly successful Pasukan Petugas Khas (PPK) and MEKAR outreach programs in neighboring Sarawak. It must function as a decentralized, multi-agency entity (involving JPN, Immigration, Welfare, Health, Education, the Native Courts, and SUHAKAM) that deploys mobile registration units directly to isolated maritime and interior communities. Crucially, it must utilize a robust triage system to differentiate rapidly between likely citizens, long-term residents of undetermined nationality, and foundlings, processing claims without fear of political reprisal (JPN, 2024).
2. **Decouple Service Identity from Final Nationality Determination:** The immediate developmental toll on children must be halted. The state should issue interim “service identities” that grant undocumented and stateless children unconditional access to public schooling and basic preventative healthcare. A child’s right to education and life-saving medical care should not be held hostage by the protracted bureaucratic adjudication of their parents’ complex citizenship files.
3. **Formal Recognition and Integration of Alternative Learning Centres (ALCs):** Recognizing that ALCs currently bear the immense burden of educating tens of thousands of stateless children, the Ministry of Education must offer formal recognition, financial support, and syllabus alignment to these community institutions. Crucially, clear academic bridging mechanisms must be established to allow advanced ALC students to eventually sit for national examinations (such as the SPM), transforming dead-end literacy programs into genuine pathways for socioeconomic mobility (Daily Express, 2024).
4. **Implement Poverty-Proof Civil Registration Protocols:** Bureaucratic friction must be minimized to prevent the creation of new stateless generations. This includes launching targeted amnesty campaigns for customary (kahwin kampung) and cross-border marriages, allowing alternative evidentiary bundles (e.g., community leader attestations, sibling DNA) in lieu of standard hospital birth records, and waiving all late-registration penalties and fees for households falling below the poverty line.

5. **Eradicate the “Statelessness Discount” in Labor Markets:** To prevent the continued exploitation of undocumented labor and the proliferation of child labor, enforcement paradigms must pivot from punishing the vulnerable worker to sanctioning the exploitative employer. Safe, firewall-protected channels must be established allowing undocumented workers to file wage claims and report occupational abuses without fear of retaliatory deportation.
6. **Develop a Protected, Depoliticized Planning Registry:** To facilitate accurate economic and infrastructural planning, Sabah must construct a comprehensive demographic registry of its undocumented population. To bypass the deep-seated trust deficits stemming from past enforcement raids and the PSS controversies, this registry must be safeguarded by an independent human rights body like SUHAKAM, ensuring the data is utilized strictly for SDG targeting (Indicator 16.9.1) and poverty alleviation, rather than punitive immigration sweeps or deportations.

7. CONCLUSION

The socioeconomic landscape of Sabah is fundamentally fractured by an overarching, intergenerational crisis of documentation. As mapped comprehensively across Putatan, Semporna, Labuan, and Tuaran, the absence of a recognized legal identity subjects generations of "legal ghosts" to a cascading architecture of exclusion. Whether it is Bajau Laut children hiding in chicken coops to avoid immigration raids, undocumented plantation workers locked into hazardous, sub-minimum wage labor, or entire maritime communities rendered invisible to national welfare databases, the human cost is immeasurable.

When SDG Target 16.9 (legal identity for all) fails, it precipitates simultaneous, catastrophic failures across education (SDG 4), health (SDG 3), decent work (SDG 8), and poverty eradication (SDG 1). The data is unequivocal: Sabah cannot sustainably develop, nor can it claim to uphold foundational human rights, while relegating a massive proportion of its population to the shadows. Resolving this crisis demands a profound paradigm shift, recognizing legal identity not as a coveted privilege to be anxiously guarded, but as the essential, non-negotiable infrastructure upon which all equitable human development is built.

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